

HLS THERAPEUTICS INC HLS.

August 21, 2026 - 1:36pm EST
by

ChapterTwelveCapital

		2026	2027
Price:	3.80	EPS	0 0
Shares Out. (in M):	31	P/E	0 0
Market Cap (in \$M):	85	P/FCF	0 0
Net Debt (in \$M):	33	EBIT	0 0
TEV (in \$M):	118	TEV/EBIT	0 0

Description

HLS Therapeutics stock has an attractive risk/reward at current prices sub-C\$4. Downside is protected by the existing Clozaril franchise with what is essentially a free option from the launch of a new cardiovascular drug. Hold on, you might say. This sounds like the exact thesis from 5 years ago when the stock was at \$10 or more. Though similar-sounding and thus contributing to investor skepticism, the set-up is actually very different today.

Over the past 5-7 years, investors have had to digest the following disappointments at HLS:

1. The launch and growth of Vascepa, highly purified EPA (fish oil) used for cardiovascular risk reduction has proved very disappointing. In the 2020/2021 timeframe, previous HLS management had issued peak sales guidance for the drug in the C\$200-\$300 million range. Fast forward to today, and on a TTM basis, the drug has done \$26 million in revenue. Vascepa sales are still rising, with growth actually accelerating in the latest quarter to 18%, and the company has patent protection through the late-2030s, but Vascepa has been a massive disappointment. From a profitability perspective, new management has done well to get its cardiovascular business to break-even EBITDA and this includes some launch costs for Nilemdo which I will touch on further below.
2. Decline in the royalty portfolio. From 2019 through 2023, HLS generated approximately \$10 million in revenue from a portfolio of royalties. Beginning in Q4 2023, the royalty revenue stream reset to a much lower level and the company eventually divested the royalty portfolio to DRI Healthcare Trust. Investors were caught off-guard by the sudden and dramatic step-down in 100% contribution royalty revenue.
3. Clozaril expectations have come down. Though Clozaril remains a critical last line of defence in the treatment of Schizophrenia, expectations 5-7 years ago for the top-line outlook were too optimistic. At the time, there was an expectation for modest growth. What we have actually seen is a franchise that has been stable to down slightly in Canada (C\$34.4 million of revenue in 2025 vs. C\$37.4 million in 2020) and declining in the US (US\$12.4 million of revenue in 2025 vs. US\$16.3 million in 2020). Clozaril has long been off-patent with protection from the registry requirement and need for frequent blood testing to monitor for a rare side effect.

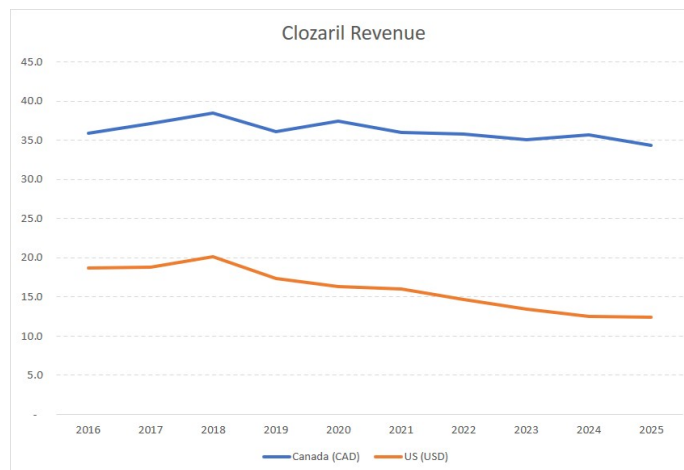
Current CEO Craig Millian joined the company in May 2023 and has spent the past few years working through organizational changes and paying down debt (net debt is US\$33 million vs. US\$75 million when he joined). The Clozaril franchise remains highly profitable and Craig has restructured the cardiovascular organization to bring it to EBITDA break-even.

Today, the company has a market cap of ~US\$88 and EV of ~US\$120 million. EBITDA is ~US\$20 million for a reasonable 6x multiple but we should see EBITDA grow starting next year given rough stability with Clozaril but then growth in the cardiovascular franchise given the launch of Nilemdo and Nexlizet.

HLS management in-licensed Nilemdo and Nexlizet from Esperion Therapeutics in May 2025 for nominal up-front consideration. According to HLS management, Esperion appreciated HLS' existing infrastructure servicing the market and good reputation with key opinion leaders. Nilemdo (bempedoic acid) lowers LDL-cholesterol in patients who are statin-intolerant or require add-on therapy. HLS management believes there is conservatively a population of 500k Canadians who would benefit from this therapy and that sales for the drug could reach \$50-\$100 million over-time. Nexlizet is a combination non-statin therapy with bempedoic acid and ezetimibe. The company encountered some minor hiccups with Health Canada, but given the therapy has been broadly approved internationally, management expects to launch the drug in 2027. The drugs should enjoy market exclusivity through 2040.

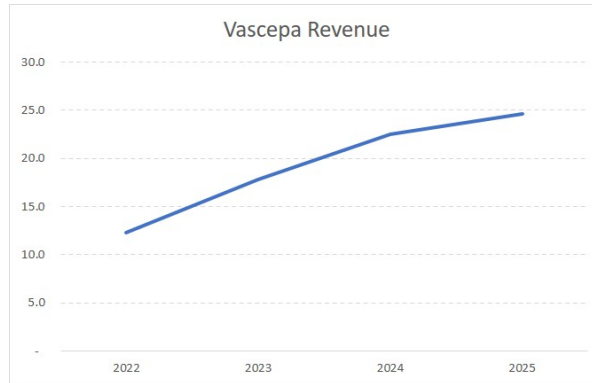
Clozaril revenue should remain roughly stable in Canada. The company has market share around 50% nationwide. They are seeing gradual declines in Quebec where, for regulatory reasons, they are not permitted to enrol new patients, but this is being offset by good growth in Western Canada where market share is closer to one-third vs. generics. HLS experienced some challenges with Clozaril in Ontario over the past few quarters as a hospital GPO unexpectedly made a CFO-driven decision to move some of their patients over to generics. The patient population has now returned to growth and HLS management emphasizes that clinicians remain supportive of branded Clozaril because of the testing and monitoring assistance that the company provides.

Clozaril in the US is fully generic and management expects the revenue base to continue its decline over-time. Clozaril margins are high in Canada, but they are even higher in the US where the company does not require the same infrastructure to support the drug. I would expect Clozaril revenue and profits to be roughly stable in 2027, but ultimately to decline in the mid single digit range.



Vascepa should continue to grow and it appears that the launch of Nilemdo and Nexlizet may accelerate growth here as the new drugs increase prescriber excitement and have enabled HLS to attract higher performing sales reps. Importantly, Vascepa revenue is supporting the infrastructure for the cardiovascular business which means that growth in Nilemdo and Nexlizet will carry minimal if any incremental

cost. Even C\$10 million of Nilemdo revenue could increase consolidated EBITDA by ~25%.



The risk/reward on HLS at current prices is attractive. At 6x EBITDA which is not optimized for current profitability, the stock is probably fairly valued to cheap based on what they have today. But with decent odds of at least some success with Nilemdo and Nexlizet, no need to add meaningful cost as those new drugs launch and grow, the as-we-speak launch of Nilemdo driving an EBITDA inflection to the positive growth in 2027, and a de-risked balance sheet freeing up capacity for share repurchases for the first time in years, the upside could be significant. In my view, HLS is a business built to be much larger, not one to maximize current profitability. So either they get much larger, to the benefit of shareholders, or they restructure/privatize, also to the benefit of shareholders.

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Catalyst

Nilemdo launch and acceleration

Share repurchases

Messages

No messages